also the rationale for local area banks and regional rural banks, and is a strong feature in the cooperative movement.

Yet, while there have been some grand successes among these institutions, each form has some deficiencies. Microfinance institutions do not have access to low-cost deposit financing, though securitization of loans has been a growing avenue of finance. Local area banks could not expand out of their area, exposing them to the geographical concentration risks. Regional rural banks agitated for parity in salary structures with parent scheduled commercial banks, and having achieved parity, find that their costs are not optimally suited for the clientele they need to service. There are some very successful cooperative banks, on par with any universal bank, but far too many suffer from governance problems. The RBI has been engaged in bringing stronger governance to urban cooperative banks, but split supervision with state authorities limits how much it can do.

To provide an alternative institutional avenue for these categories of institutions to fulfill their mission, the RBI has created a new institution called the small finance bank, where 'small' refers to the kind of customer the bank deals with, not its size. With 75 per cent of the loans mandated to be below Rs 25 lakhs, the small finance bank is intended to provide services to the excluded. Thus far, the licences have been largely given to microfinance institutions and one local area bank, but there is no reason why these cannot be given to regional rural banks and cooperatives in the future. The hope is that these institutions will maintain a low cost structure, augmented by technology, to provide a menu of financial services to the excluded.

New institutions can also help ease the flow of credit. For instance, credit information bureaus have helped tremendously in solving both the information and incentive problem in retail credit. When an individual knows that a default will spoil their credit rating and cut